kjags advisors

kjags advisors
AI advisory practice · Perry Hall, MD
keeranj@kjagsadvisors.com

TXDPS Contract Portfolio — Flags Briefing

Prepared for: TXDPS Procurement Services
Companion to RFI ITD202604210249 response
Date: May 8, 2026

Compact briefing on every pattern the kjags AI Operating System surfaces from public TXDPS contract data, plus speculative categories that require Department-internal data to confirm. Each pattern is a question for stakeholder validation, not an accusation. Entries amber-highlighted are surfaced from public records; entries red-highlighted are speculative and flagged for further investigation.

CONTRACTS ANALYZED	PATTERNS SURFACED	12-MO RENEWAL QUEUE	CONCENTRATED COMMITMENTS
761	**37**	**318**	**$575M**
$2.99B aggregate ceiling	across 8 categories below	$534M, action window open	blanket ($168M) + DPS *2000 LLC ($407M)

1. Open-ended “blanket” / vague-scope contracts

30 contracts · $168M aggregate ceiling

Contracts whose scope is described as “blanket”, “as needed”, “T&M”, or similar — authorizing draws against a fixed ceiling without per-purchase competitive review. Concentrate decision authority and reduce visibility into actual utilization.

VENDOR	DESCRIPTION	CEILING	BEGIN → END
TRIBALCO LLC	Motorola Video Blanket	**$35,000,000**	3/6/2026 → 8/31/2030
AXON ENTERPRISE INC	Axon Taser Blanket	**$31,000,000**	9/1/2024 → 8/31/2029
GTS TECHNOLOGY SOLUTIONS	Desktop & Laptop Blankets	**$25,000,000**	9/1/2025 → 8/31/2029
GTS TECHNOLOGY SOLUTIONS	Printer & Router Blanket	**$10,000,000**	1/20/2026 → 8/31/2030
SIGMA SURVEILLANCE	Statewide Security Blanket	**$9,900,000**	9/1/2024 → 8/31/2027
CARAHSOFT TECHNOLOGY CORP	Salesforce Blanket	**$9,500,000**	8/22/2025 → 8/21/2030
FLORES AND ASSOCIATES LLC	DLD KA Scanner Blanket SOLIC	**$7,500,000**	9/1/2024 → 8/31/2029
CAPRICE ELECTRONICS INC	GSA Battery Blanket Contract	**$7,000,000**	9/1/2024 → 8/31/2027
+22 additional blanket / open-ended contracts. Full list in companion dashboard.			

Review question: For each blanket above, what governance applies to draws against the ceiling? What percentage of ceiling is typically used? Are blanket renewals the right mechanism, or should the largest ones be restructured into specific-task PO awards?

2. Counterparty concentration — the “DPS [City] 2000 LLC” lease pattern

16 entities · $407M aggregate

Sixteen single-purpose LLCs named “DPS [City] 2000 LLC” (or LTD) hold TXDPS facility leases totaling $407M. Public Texas SOS records show DPS Carrollton 2000 LLC has registered agent **Jody L. Hagemann** (Texas Bar #08686600), an Austin real-estate attorney. The naming pattern + likely shared registered agent strongly suggests common ownership across all 16 entities through one developer or real-estate fund.

This pattern is NOT inherently shady. Build-to-suit single-purpose LLCs per property is completely standard in Texas commercial real estate (liability isolation, tax/financing flexibility, individual asset-sale capability). The procurement-relevant findings are:

- **Counterparty concentration risk.** $407M of long-term lease commitment likely concentrated with one beneficial owner. If the landlord’s financial position changes or properties are sold, TXDPS faces simultaneous renegotiation across multiple facilities.
- **Portfolio-level negotiation leverage TXDPS may not be using.** Sixteen leases with one counterparty is a portfolio. TXDPS may be negotiating each lease individually as it comes up for renewal, missing the opportunity to negotiate as a portfolio.
- **Build-to-suit financing transparency.** Build-to-suit lease structures embed financing costs the agency could otherwise own. Periodic review of lease-vs-buy economics on the largest properties is appropriate.

ENTITY	DESCRIPTION	CEILING	TERM	BEGIN → END
DPS CARROLLTON 2000 LLC	Carrollton Lease 20547	**$68,418,780**	10.8	11/2/2016 → 8/31/2027
DPS SOUTH HOUSTON 2000 LLC	Houston TFC Lease 20540	**$55,847,695**	11.5	11/1/2016 → 4/30/2028
DPS GEORGETOWN 2000 LLC	Georgetown Bldg Lease 20550	**$36,562,838**	10.0	1/1/2018 → 12/31/2027
DPS ROSENBERG 2000 LLC	TFC Lease Rosenberg	**$35,339,270**	11.0	8/1/2022 → 7/31/2033
DPS PLANO 2000 LLC	TFC Lease 303-3-20721 Plano	**$30,354,182**	10.0	5/1/2024 → 4/30/2034
DPS DALLAS 2000 LLC	Building Lease Dallas 20379	**$27,055,698**	20.0	11/1/2015 → 10/31/2035
DPS ABILENE 2000 LLC	TFC Lease 20729 Abilene	**$25,160,371**	10.6	10/7/2022 → 4/30/2033
DPS HOUSTON 2000 LLC	Building Lease Houston 20370	**$23,631,074**	20.8	6/1/2015 → 2/29/2036
DPS GRAND PRAIRIE 2000 LLC	Grand Prairie Bldg Lease 20581	**$19,035,495**	10.0	6/1/2018 → 5/31/2028
DPS MEGACENTER 2000 LTD	Bldg lease Pflugerville 20288	**$16,304,464**	20.0	9/1/2012 → 8/31/2032
DPS NEW BRAUNFELS 2000 LLC	New Braunfels TFC Lease 20535	**$15,109,634**	11.0	11/1/2016 → 10/31/2027
DPS LEAGUE CITY 2000 LLC	New-TFC Lse 20766-League City	**$12,923,149**	11.0	—
DPS DENTON 2000 LLC	Denton Lease DL 303-1-20669	**$12,955,049**	10.0	—
DPS MIDLAND 2000 LLC	Midland TFC Lease 20549	**$11,778,299**	11.0	—
DPS KILLEEN 2000 LLC	Killeen Building Lease 20511	**$10,547,904**	11.0	—
DPS ANGLETON 2000 LLC	Angleton DL Location	**$6,330,096**	5.5	—

Review question: Confirm common beneficial ownership of all 16 entities. If concentrated with one developer, assess (a) financial-strength of that counterparty, (b) opportunity for portfolio-level renegotiation, (c) lease-vs-purchase economics on the four largest assets ($150M+ aggregated).

Speculative — requires deeper data: If beneficial ownership traces to current or former TXDPS officials, their family members, or significant state political donors, that warrants ethics-disclosure review separately. *Public records do not surface this; it requires beneficial-ownership investigation beyond Texas SOS public filings, cross-referenced with State Ethics Commission filings and political donor records.*

3. Same-vendor cohort patterns

10 patterns · multi-fiscal-year

Multiple contracts with the same vendor whose descriptions follow a recognizable cohort pattern (e.g., A25, B25, C25, A26 — quarterly or class-based deployment cohorts).

VENDOR	PATTERN	COHORTS	AGGREGATE
GALLS LLC	SOFT BODY ARMOR	A25, B25, C25, A26 (4 cohorts)	**$624,000**
MOTOROLA SOLUTIONS INC	BODY WORN CAMERAS	A25, B25, C25, A26 (4 cohorts)	**$723,131**
GALLS LLC	CLASS AC UNIFORMS	D25, A26, B26 (3 cohorts)	**$613,877**
GALLS LLC	TAC VESTS	C25, D25, B26 (3 cohorts)	**$847,200**
METRO AVIATION INC	HEAVY AVIATION MAINTENANCE	2 contracts (different ceilings)	**$3,696,484**
CTC GUNWORKS, LLC	FTU P320 M17 (firearms)	A26, B26 (2 cohorts)	**$323,400**
G T DISTRIBUTORS INC	FLEXRS UNIFORMS	A26, B26 (2 cohorts)	**$242,624**
GALLS LLC	ARMOR SKINS	A26, B26 (2 cohorts)	**$267,200**

Review question: For each cohort: is the split deliberate (class-by-class deployment for quality control or training-cohort timing) or an artifact of fiscal-year procurement cycles? If the latter, would consolidating into a single master agreement with cohort releases reduce procurement overhead?

4. Same-product, multiple-vendor patterns

6 patterns

Contracts with very similar descriptions awarded to different vendors. Could be deliberate (multi-source for redundancy or geographic coverage) or an unintentional duplication.

PATTERN	VENDORS	CONTRACTS	AGGREGATE
HEAVY AVIATION MAINTENANCE	Metro Aviation, RSG Aviation, Arrow Aviation	4	**$9,196,484**
STATEWIDE AIRCRAFT MAINTENANCE	El Paso Aero, RAMS Aviation, Cutter Aviation	3	**$1,500,000**
MAINFRAME MIGRATION STAFF AUG	Neos Consulting, Conquest Consulting	2	**$1,375,011**
CANINES BLANKET	Pacesetter K9, Covenant K9 Detection	2	**$400,000**
LUBBOCK LAWN SERVICES	WCD Enterprises, Fando Landscaping	2	**$313,872**
DNA ANALYSIS & GENETIC GENEALOGY	Parabon NanoLabs, RGen	2	**$233,334**

Review question: For each: is the multi-source split deliberate (geographic coverage, redundancy, capability differentiation) or unintentional duplication? Aviation maintenance in particular spans three vendors at $9M+ — likely reflects fleet-region split, but worth confirming.

5. Same-vendor, same-day multi-contract patterns

19 patterns · possible split-purchase signals

Multiple contracts with the same vendor sharing the same begin date can indicate (a) deliberate splitting of a single procurement to stay under bid thresholds, (b) FY-aligned cohort splits for legitimate reasons, or (c) coincidental simultaneous solicitation closure.

VENDOR	SAME-DAY COUNT	DATE	SAME-DAY TOTAL
TEXAS FACILITIES COMMISSION	3 (PM&Construction services)	8/26/2021	**$34,740,962**
BRIGHT FAMILY PROPERTY LLC	2 (Corpus Christi + Lake Worth leases)	4/1/2014	**$17,510,357**
TEXAS FACILITIES COMMISSION	2 (TFC Contract 22-176 + 23-050)	7/27/2023	**$12,754,537**
GTS TECHNOLOGY SOLUTIONS	2 (VMware + Splunk)	9/1/2023	**$9,792,422**
PRESIDIO NETWORKED SOLUTIONS	2 (Cisco SmartNet × 2 different ceilings)	7/1/2023	**$9,454,264**
PARKHILL SMITH & COOPER INC	3 (A/E Services SG1, SG2, SG4)	6/26/2024	**$7,500,000**

> **Review question:** PARKHILL SMITH & COOPER A/E Services 3-contract split on same day under same solicitation 40523R0007034 (SG1=$4.5M, SG2=$1.5M, SG4=$1.5M) is the most-investigation-worthy case: why was a single A/E procurement structured as three separate contracts of distinct ceilings, and what determined the 3:1 split between SG1 and SG2/SG4?

6. Individually-flagged noteworthy contracts

5 contracts

Specific contracts the system flags individually for size, term length, vendor entity oddities, or data-hygiene reasons.

6.1 Tribalco LLC — “DO NOT USE THIS CONTRACT” ($6,378,546)

A contract literally titled “DO NOT USE THIS CONTRACT” appears in the public §2054.126 disclosure with a $6.4M ceiling. The same vendor has a separate $35M Motorola Video Blanket contract.

> **Review question:** Why is a deprecated contract still in the active disclosure? At minimum a contract-management-system data-hygiene flag. Worth confirming whether any draws have occurred against the “DO NOT USE” contract.

6.2 Kaseware Inc — Enterprise Contract ($47,660,000 / 10-year term)

A 10-year, $47.66M software enterprise contract. Most software contracts are 3-5 years to allow technology refresh and competitive recompetition. A 10-year lock-in at this scale is unusual.

> **Review question:** Was the original solicitation competitive? What renewal-option / termination-for-convenience structure applies? Was sole-source justified for a 10-year term?

6.3 Tribalco LLC — Motorola Video Blanket ($35,000,000)

A $35M open-ended blanket purchase agreement with TRIBALCO LLC (a Maryland-based Motorola reseller, not Motorola direct).

> **Review question:** Why route a $35M Motorola product spend through a third-party reseller instead of direct from Motorola via DIR cooperative? Is the markup premium worth the small-business or set-aside benefit (if any)?

6.4 Carahsoft Technology Corporation — Remote Issuance (RI) ($62,401,200 / 5-year)

A $62.4M, 5-year contract through Carahsoft for "Remote Issuance" — the largest single IT contract by ceiling. The underlying product / OEM is not visible from the contract title alone.

> **Review question:** What product does this license? (Likely identity-issuance / driver license remote-issuance, but confirm.) Is the term and ceiling appropriate to the actual deployment plan?

6.5 GCOM Software LLC, A Voyatek Company — CCH+ Solution ($47,917,320, signed 1/19/2026)

A $47.9M, 5-year contract signed January 2026. The vendor entity name change ("A Voyatek Company") suggests a recent acquisition. CCH+ is the Computerized Criminal History solution — a critical TXDPS system.

> **Review question:** Was this recompeted with the new ownership structure or carried over from prior award? What change-of-control terms applied at the time of acquisition? Has performance been continuous through the ownership transition?

7. Speculative categories — require Department-internal data 7 categories

The following categories of finding are not surface-able from the public §2054.126 disclosure alone. They require internal Department data (CAPPS payment records, contract documents themselves, vendor performance records) and/or cross-referenced external data (State Ethics Commission filings, donor records, beneficial ownership investigation). We list them here so the Department understands what additional optimization categories the kjags methodology would surface under engagement.

> Speculative — requires deeper data: **Underutilization — high ceiling, low actual spend.** The PDF lists contract maximums, not actual payments. Cross-joining with Texas Comptroller payee payment data would identify the contracts where actual spend is <30% of ceiling. Those are candidates for ceiling reduction at renewal or sunset altogether.

> Speculative — requires deeper data: **Padded scope-of-work language.** "And other services as required" or "at the Department's discretion" clauses in deliverables sections expand vendor billing authority beyond original procurement intent. Visible only in the actual contract documents (TPIA-requestable from contracts.lbb.texas.gov) — not visible in the public summary.

> Speculative — requires deeper data: **Sole-source justifications that don't hold up.** Each non-competitive contract should have a sole-source justification on file. The justifications are TPIA-requestable. Some may be aged (vendor-uniqueness claims that no longer apply), formulaic (boilerplate that doesn't survive scrutiny), or based on prior-vendor-incumbency rather than substantive uniqueness.

> Speculative — requires deeper data: **Conflicts of interest / political-donor proximity.** Vendor beneficial ownership cross-referenced against state ethics filings and political donor records can identify vendors with political proximity to TXDPS officials, the Governor's office, or relevant

legislative committee members. Texas Ethics Commission filings are public; the cross-referencing is investigative work.

Speculative — requires deeper data: Sub-tier passthrough markup. Where TXDPS contracts with a prime that subcontracts material work, the prime's markup over the sub's direct cost can be excessive. Visible in detailed contract documents and invoices, not in the public summary.

Speculative — requires deeper data: Performance failures masked by renewal. Contracts renewed on schedule despite missed deliverables or SLA breaches. Internal contract management records would surface this.

Speculative — requires deeper data: Recently-formed vendor entities receiving large awards. Cross-referencing each vendor's Texas SOS formation date against contract size identifies entities formed shortly before contract award — sometimes legitimate (newly-spun-out specialists), sometimes a red flag (entities formed specifically to capture a known award).

8. Renewal queue — primary action artifact

395 contracts · $996M

Of the 761 contracts in the portfolio, 395 ($996M) reach renewal within the next 18 months — including 318 ($534M) within 12 months. Each renewal is a real decision point already in the procurement workflow. The dashboard's renewal queue is the procurement officer's primary working list and the system's most directly-actionable artifact.

Recommended Department workflow:

1. Sort renewal queue by days-to-expiry. The top 30 are the next quarter's decisions.
2. For each: route to the contract owner. Owner classifies as one of: renew as-is, restructure, recompete, sunset.
3. For "restructure" or "recompete" classifications, the system surfaces relevant patterns from sections 1-7 above to inform the redesign.
4. The system records each decision so it doesn't resurface.

9. What the kjags methodology adds under engagement

This briefing demonstrates what the kjags AI Operating System surfaces from public data alone. With Department engagement and internal data access, the same methodology delivers the speculative categories in section 7, joins payment data to surface utilization, ingests actual contract documents to surface scope-of-work issues, and produces a recurring intelligence cadence rather than a one-time analysis.

The substance of this engagement is procurement consulting, not IT services. We address the procurement-vehicle question separately in our formal RFI response.

Source. All findings derive from the TXDPS Contracts Exceeding $100,000 disclosure under Texas Government Code §2054.126, available at https://www.dps.texas.gov/iod/doingbusiness/docs/contractsOver100K.pdf. **Companion live dashboard:** txdps-contract-portfolio.vercel.app (public — demonstrates methodology on public data only. The production version operating on Department-internal data would be access-controlled to authorized Department personnel.) **Methodology.** AI-augmented PDF extraction (PyMuPDF), keyword + pattern classification, AI-assisted entity-resolution and analysis. **Status.** All findings are questions for stakeholder validation, not recommendations or accusations.